

This copy is for your personal, non-commercial use only. Distribution and use of this material are governed by our Subscriber Agreement and by copyright law. For non-personal use or to order multiple copies, please contact Dow Jones Reprints at 1-800-843-0008 or visit www.djreprints.com.

<https://www.wsj.com/articles/nvidia-keeps-upping-its-game-1510269855>

HEARD ON THE STREET

Follow

Nvidia Keeps Upping Its Game

Chip maker's strong gaming and data-center sales help justify its surging market value

By Dan Gallagher

Nov. 9, 2017 at 6:24 pm ET



Using a virtual reality headset at a Nvidia conference this month. SAUL LOEB/AFP/GETTY IMAGES

Nvidia **NVDA -4.18% ▼** is playing a high-stakes game these days. Fortunately, it continues to play its hand well.

The chip maker has become closely tied to the cloud, most specifically to the sizable flow of capital spending by major cloud-service operators that are buying up the company's graphics processors that are specially designed to enable artificial intelligence in data centers. It's still a relatively small business for Nvidia, but it's expanding fast. Nvidia's sales to the data-center market totaled \$501 million for the fiscal third quarter ended Oct. 29, more than doubling in size year over year.

That beat Wall Street's forecast for the quarter, which should provide a sigh of relief to nervous investors. Nvidia's market value has doubled this year, after having tripled last year, as the company has masterfully positioned itself at the prime slot in the market for artificial intelligence chips. It has also made Nvidia one of the most expensive stocks on the chip market at more than 50 times forward earnings, which sets sky-high expectations the company can't always meet.

Such was the case three months ago, when the company's data-center sales missed some projections and sent the stock down initially. But the data-center gain was stronger this time, and the company's main business of selling graphics chips used in gaming PCs looks good as well. Sales there jumped 25%, to \$1.6 billion, which was also likely helped by strong demand for the Nintendo Switch console, which uses Nvidia's processor.

Nvidia is now the third most valuable chip maker on the market, lagging behind only Intel and Taiwan Semiconductor Manufacturing. That sets a rather high bar, but the company has shown great proficiency thus far in meeting and beating it.

Write to Dan Gallagher at dan.gallagher@wsj.com

Appeared in the November 10, 2017, print edition as 'Nvidia Keeps Raising Its Chips Game'.

Dan Gallagher is a former columnist for The Wall Street Journal's Heard on the Street, where he covered the technology and media industries. His work for the Heard column spanned the businesses of artificial intelligence, semiconductors, internet, software, hardware, advertising, streaming TV and film. Dan also wrote WSJ's AI &...

Follow
